Crowdfunding

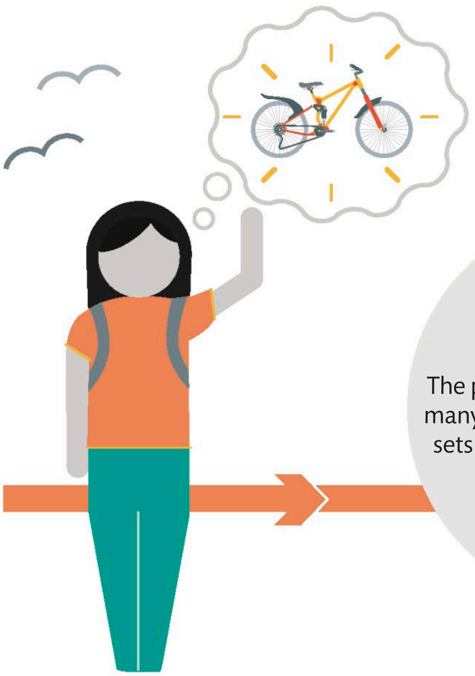
Unlike conventional fundraising, crowdfunding allows anyone to raise money directly from potential donors—often online via social media. It works on the principle of asking many people to make a small contribution.

How it works

Most fundraising focuses either on charitable causes or on investment in a worthwhile or potentially lucrative venture. In the days before social networking, fundraising was typically organized through a third party such as a bank or a charity, through a subscription plan, or by asking family and friends for financial help. Crowdfunding is an evolution of these that mostly takes place online instead of face-to-face.

Crowd advantage

Crowdfunding differs from conventional fundraising in that it cuts out the "middleman," ensuring that more of the donated money goes to the cause. It also enables anyone, regardless of their venture, to petition online for money, and it can reach a much wider audience than, say, enticing potential investors via a subscription plan.



Creating a pitch

The pitch, designed to appeal to as many potential donors as possible, sets out the project or charitable cause to be funded, and usually stipulates a financial target.

Choice of platform

Usually crowdfunding platforms offer templates, donation tallies, and automatic reminders. Some specialize in charity cases, others in investment projects.

Screening process

Crowdfunding platforms screen applicants before they launch a campaign. As with banks, some platforms have stricter criteria than others.